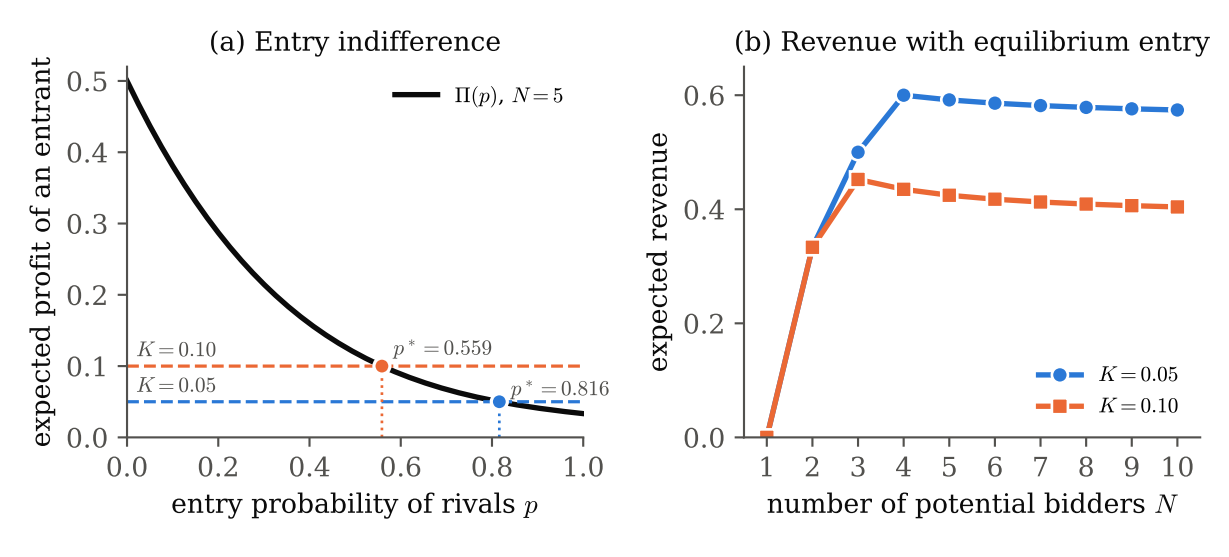
(a) Entry indifference
Π(p), N = 5
expected profit of an entrant
entry probability of rivals p
K = 0.10
K = 0.05
p* = 0.559
p* = 0.816
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.8
1.0
(b) Revenue with equilibrium entry
expected revenue
number of potential bidders N
K = 0.05
K = 0.10
1
2
3
4
5
6
7
8
9
10